

FIRE SALE COMING SOON

The coming months could see selling pressure intensify for stocks of companies that listed in the second half of last year as the one-year lock-in for their pre-IPO shareholders comes to an end

BY ASHISH RUKHAIYAR

► IT WAS JUST ANOTHER MONDAY FOR THE STOCK MARKETS, but for online food delivery major Zomato, July 25, 2022 turned out to be a day of reckoning. Its stock price fell over 14 per cent during the day's trade to touch a low of ₹46. It had listed at ₹76 last year. So, what happened?

The crash was triggered by the fact that the digital platform's stock had completed a year of listing, and hence, the lock-in period for its pre-IPO shareholders had come to an end. As per the guidelines of markets regulator Securities and Exchange Board of India (Sebi), all investors who buy a company's stock through pre-IPO placements and anchor allotments are subject to certain lock-in periods—such as a month for anchor investors, and a year for pre-IPO shareholders—following the expiry of which, eligible shareholders can sell their holdings in the open market.

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Incidentally, Zomato's shares had tanked over 10 per cent during intra-day trade on August 23 last year when the one-month lock-in period for its anchor investors came to an end.

But it's not only about Zomato. Last year was a stellar year for IPOs as a total of 63 companies launched their public issues to raise a record ₹1.2 lakh crore—the highest in a calendar year.

Since many companies listed on the bourses in the second half of last year, the lock-in periods of their pre-IPO shareholders are set to expire soon. That, in turn, could intensify the selling pressure on the companies' equities amidst the weak outlook and ongoing volatility.

The focus will be on online majors like Paytm, Policybazaar, Nykaa and CarTrade Tech, among other tech companies, as they commanded massive valuations before their IPOs. But barring Nykaa, most of them have seen their share price crash following their market debut.

Among the start-ups that got listed last year, only Nykaa has managed to stay above its issue price of ₹1,125, even as shares of Paytm and Policybazaar are down over 67 per cent and 52 per cent, respectively, from their issue prices.

"The latter half of 2021 saw tech-platform companies ruling the roost. The majority of them had no profits, and hence were valued at multiples of revenue or gross merchandise value (GMV)," says Arun Kejriwal of Kejriwal Research & Investment Services.

"Taking Zomato's example, [investors should] expect other similar tech-platform companies to face shareholder panic when their lock-in expires. It is quite likely that with market price being half, or even lower